8. External or Statutory audit are determined by _____.
   a. Indian Partnership Act
   b. Limited Liability Partnership Act
   c. Companies Act
   d. Public Trust Act
9. _____ is the basic document of the Company.
   a. Partnership Deed
   b. Memorandum of Association
   c. Articles of Association
   d. Trust Deed
10. An invitation to the public to subscribe for shares and debentures is _____
   a. Memorandum of Association
   b. Articles of Association
   c. Prospectus
   d. Contracts

[Answers: 1.(c), 2.(d), 3.(b), 4.(d), 5.(a), 6.(d), 7.(b), 8.(c), 9.(b), 10.(c)

II. Very Short Answer Questions

1. Who is a Sole proprietor?
2. What are Trusts?
3. Why audit of Joint Stock Companies made compulsory?
4. Explain the term beneficiary.

III. Short Answer Questions

1. What are the advantages of auditing the accounts of a Sole proprietor?
2. Write a note on audit of Trusts.
3. Explain briefly as how an auditor verifies his appointment.

IV. Essay Type Questions.

1. What are the advantages of auditing the accounts of a partnership firm?
2. Discuss the principal objects of audit of accounts of the following:
   - Partnership firm
   - Joint Stock company
   - Sole proprietor
   - Trusts
3. Write a short note on: (a) Audit of partnership firm (b) Audit of Joint Stock Company.
4. Briefly explain the benefits of auditing the accounts of a Joint Stock company.
5. "An auditor is expected to study various documents before commencing audit of a company"– Discuss.
6. Explain the general procedure and preparation for an audit.

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